



BUSINESS PLAN



OF THE INVESTMENT PROJECT

"The little dragon Bio HD: Educational Games"



Screenshot from our animated movie presentation

Summary of the project for funding

The Author seeks an investment of 1 million \$ US for funding high return and profitable iOS game project "The little dragon Bio HD: Educational Games" to sell in global area via App store.

1) Project type and its market analysis:

Today the IT and publication business is global if it is oriented to the whole world market by internet. So are the development and publication of applications and programs via App store, Android market and Google play. These online markets are usually used by mobile devices such as Tablet PCs (Google play, Android market), smart phones (Android market, Nokia store and etc.) and Apple products: iMacs, iPads, iPhones, iPods (App store). There are 6.8 billion mobile subscriptions worldwide, according to the [ITU](#) (February 2013) – the approximately 17 percent of those mobile subscribers use apps.

Analysts estimate for downloads of apps in 2013 range from 56 to 82 billion. In 2017, there could be 200 billion downloads.

- [ABI Research](#) (March 2013) predicts: 56 billion smartphone apps will be downloaded in 2013. By operating system: 58 percent will be Google Android; 33 percent Apple iOS; 4 percent Microsoft Windows Phone; 3 percent BlackBerry.

- 14 billion tablet apps will be downloaded in 2013; 75 percent will be iOS apps; 21 percent Android; 2 percent Windows. Android includes Amazon Kindle Fire, which will account for 4 percent of downloads.

- “With its vast installed base and the generally improved conditions for app building, ABI Research expects a growing number of smartphone-focused developers to adopt an Android-first strategy within the year,” concludes ABI Research.

- [Portio Research](#) (March 2013) forecasts: 82 billion apps will be downloaded worldwide in 2013, and by 2017 there will be more than 200 billion downloads per year.

Analysts estimate that app revenues could be US\$20 -25 billion in 2013; this could triple by 2017:

- [Canalys](#) (April 2012): in Q1 2013, there were 13.4 billion downloads, up 11 percent from Q4 2012, creating revenue of US\$2.2 billion (that’s before app stores take their substantial cut of the proceeds) from paid-for apps, in-app purchases and subscriptions (up 9 percent from Q4 2012).

- [ABI Research](#) (March 2013) expects: apps to generate revenues of \$25 billion in 2013; \$16.4 billion will come from smartphone apps and \$8.8 billion from tablet apps. Of this \$25 billion, 65 percent will come from Apple’s iOS ecosystem, 27 percent from Google’s Android, and the remaining 8 percent from the other mobile platforms.

- In 2018, app revenues will be worth \$92 billion - at that point, tablet apps will be worth more than smartphone apps, forecasts ABI Research.

- [Portio Research](#) (March 2013) estimates: full-year app revenues of \$12 billion in 2012, forecasted to grow to \$20.4 billion in 2013 and \$63.5 billion in 2017.

The largest apps stores are believed to be the Apple App Store – Apps for iOS handsets only – and Google Play – apps for Android handsets only.

- **Apple** (May 2013) claims: there are 850,000 mobile apps in the Apple App Store.
- **Canalys** (May 2013): there are over 800,000 apps available on Google Play and Apple App Store;

Windows Phone store contains over 145,000 apps; BlackBerry has in excess of 120,000 BB10 apps (pretty impressive considering that BB10 only launched in January).

“At a certain point, how many apps are in a store becomes irrelevant. Offering 100 different unit converters or weather apps is not a valuable choice,” says **Canalys**.

- **GetJar** (September 2012) claims: to be the largest independent app store (i.e. it isn't tied to one operating system, carrier etc), with 600,000 mobile applications – it isn't clear if the same app for different platform is counted twice.

Since biggest isn't necessarily best, developers need to find the app stores that best meet their requirements. The ABI Research is a good start, but it would be good to see more research in this area.

- **ABI Research** (January 2013) ranks Apple as the top mobile app store, with Google second and Microsoft third. Apple's ranking is based on its market share and its approach to monetization.

- Microsoft's store is considered the most innovative due to its efforts to rank apps on customer satisfaction and retention, which are more meaningful than downloads. Hopefully moving away from rankings based on downloads will reduce the need for app publishers to invest in costly marketing campaigns to drive downloads.

- **Canalys** (April 2012): in Q1 2013, Google Play saw the most downloads: 51 percent of downloads from Apple's App Store, Google Play, the Windows Phone Store and BlackBerry World; but Apple's App Store made the largest share of revenue at 74 percent of the four -store total.

Games are the most popular type of app with the users. They also make the most money.

- **Distimo** (2012 Year in review): The most downloaded apps are games (33 percent); widgets (8 percent); entertainment (7 percent); social (5 percent); lifestyle; music; photography; productivity (all 4 percent); tools; communication; utilities (all 3 percent). Games also dominate app revenues.

- **Portio Research** (April 2013) calculates: top categories (by number of apps) on the Apple App Store: games (17 percent of all apps in store); Google Play: games (15 percent); BlackBerry World: books (15 percent), games (9 percent); Windows Phone Store: entertainment (19 percent), tools & productivity (15 percent), games (12 percent).

By analyzing these market researches, the Author offers to the investor the project of development and publication of original educational games to further selling via Apple App store. To reach success in selling the games the Author has an original idea, market based brand strategy, and a professional high rank team to successfully fulfill the project in time and at the needed quality.

2) The main idea of the Project;

Educational games can help children's brain development. They have to search, negotiate, plan, and try different approaches to advance.

Educational games involve planning and problem-solving and help children learn to make decisions, use strategies, anticipate consequences and express their personalities.

Educational games can encourage kids to read and to research. These games often allow children to design and exchange maps or other custom content, helping them acquire creative and technical skills while having fun.

Encouraged by these positive effects on children, the Author created a concept of a multimedia project "The little dragon Bio HD: educational games". The Author began working on the scripts of the Project's games. The Project consists of **4 iOS games for iPad** using children. All these games have the same main characters - a lazy little boy and a The little dragon Bio. In these games The little dragon Bio will teach children mathematics, colors, sizes, numbers, letters, logics by enjoyable game play. The images will be in HD format to fit the demands of modern devices.

3) The team that provides successful brand strategy of the Project:

To create a new successful game brand with good selling rates these works must be done:

1) Original scripts which makes the games of the project interesting and useful for children;

Scripts are being written by the Authors of the Project. To write them, the Authors have learnt App store educational games market trends, read child psychology books and counseled with a professional methodologist.

2) Enjoyable game play, pleasurable music and beautiful images of the games;

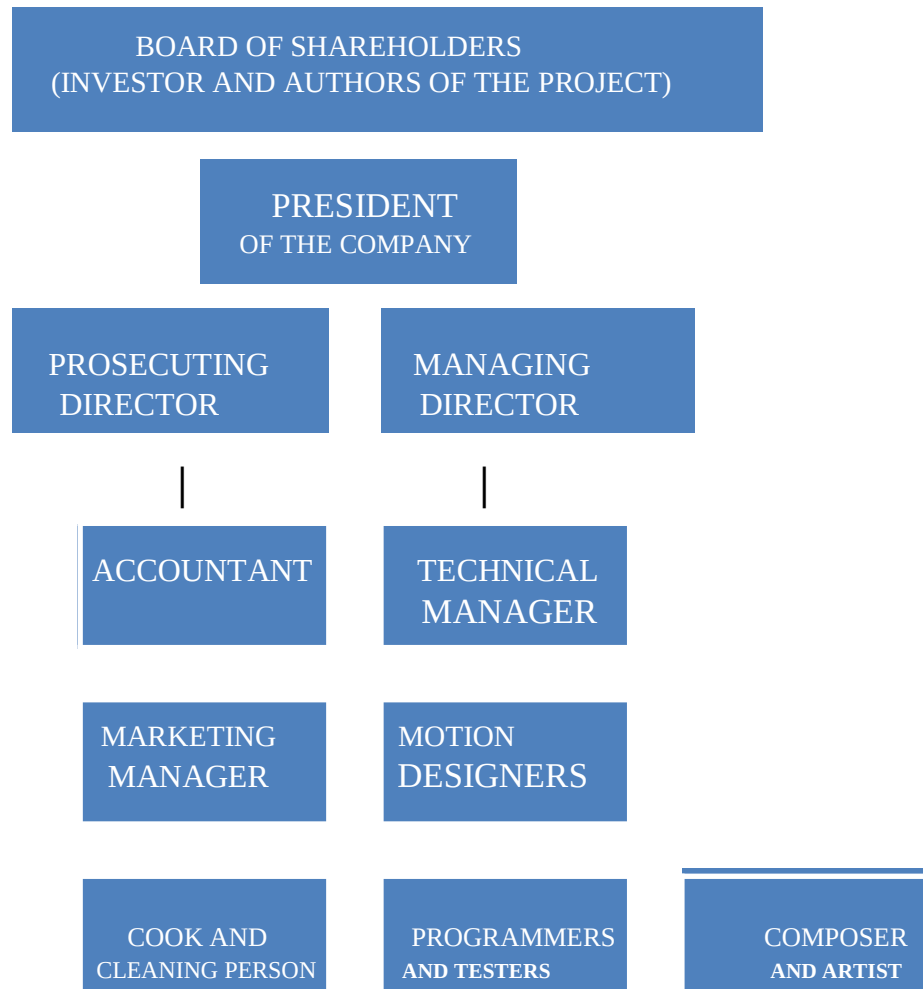
Characters, images and logos will be drawn by an artist with original style. New music and voices will be created by hired musician. A professional child psychology methodologist will work for the project to make the games useful for children. The game play of the Project's games will be developed by professionals with needed experience. For after production testing of the games will be hired a special staff. A high skilled Technical Manager will control the quality management of development process.

3) Good promotion of the trademark and the products of the Project;

Marketing manager will promote and market the games from the beginning till the end of the Project. He/she will be responsible for advertising works, sales and brand transforming. The games will be promoted through popular social media such as Facebook, Twitter, LinkedIn, Amazon and on the project's own website while they are marketed via Apple App store.

4) The organizational chart and the management duty descriptions of the Project:

The project team will be consisted of Prosecuting Director, Managing Director, Marketing manager, Technical manager, Accountant, Methodologist, an Artist, Game designers, Programmers, Sound composer and a Tester.



Prosecuting Director is the contact person with the investor, and is responsible for these functions:

- 1) Obtaining profit contribution by managing staff; establishing and accomplishing business objectives.
- 2) Increasing management's effectiveness by recruiting, selecting and disciplining managers; assigning accountabilities; planning, monitoring, and appraising job results;
- 3) Developing strategic plan by studying financial opportunities;
- 4) Accomplishes subsidiary objectives by establishing plans, budgets, and results measurements; allocating resources.
- 5) Contributes to team effort by accomplishing related results as needed.
- 6) Deciding and signing all organizational, administering and financial documents;
- 7) Correspondence with the investor;
- 8) Reporting to the investor.

Skills/Qualifications: Performance Management, Staffing, Management Proficiency, Coordination, Coaching, Developing Standards, Financial Planning and Strategy, Process Improvement, Decision Making, Strategic Planning, Quality Management

Managing Director is the contact person with the investor, and is responsible for these functions:

- 1) Forming the main idea of the Project and writing the game scripts of the Project;
- 2) Increasing management's effectiveness by selecting, orienting, training, coaching, counseling managers; communicating values, strategies, and objectives;
- 3) Developing strategic plan by studying technological opportunities;
- 4) Accomplishes subsidiary objectives by establishing plans, reviewing progress; making mid-course corrections.
- 5) Contributes to team effort by accomplishing related results as needed.
- 6) Supervising the Project on all stages;

Skills/Qualifications: Performance Management, Staffing, Management Proficiency, Coordination, Coaching, Developing Standards, Financial Planning and Strategy, Process Improvement, Decision Making, Strategic Planning, Quality Management

Accountant provides financial information to Prosecutor Director by researching and analyzing accounting data; preparing reports to tax authorities. Accountant job duties:

- 1) Prepares asset, liability, and capital account entries by compiling and analyzing account information.
- 2) Documents financial transactions by entering account information. Substantiates financial transactions by auditing documents.
- 3) Prepares payments by verifying documentation, and requesting disbursements.
- 4) Summarizes current financial status by collecting information; preparing balance sheet, profit and loss statement, and other reports.
- 5) Secures financial information by completing data base backups, maintains financial security by following internal controls.
- 6) Answers accounting procedure questions by researching and interpreting accounting policy and regulations.
- 7) Complies with federal, state, and local financial legal requirements by studying existing and new legislation, enforcing adherence to requirements, and advising management on needed actions.
- 8) Maintains professional and technical knowledge by attending educational workshops; reviewing professional publications; establishing personal networks; participating in professional societies.
- 9) Accomplishes the result by performing the duty.
- 10) Contributes to team effort by accomplishing related results as needed. **Skills/Qualifications:** Accounting, Corporate Finance, Reporting Skills, Attention to Detail, Deadline-Oriented, Reporting Research Results, SFAS Rules, Confidentiality, Time Management, Data Entry Management, General Math Skills

Marketing Manager job purpose: Accomplishes business development activities by researching and developing marketing opportunities and plans; implementing sales plans; managing staff. Marketing and Sales Manager Job Duties:

- 1) Achieves marketing and sales operational objectives by contributing marketing and sales information and recommendations to strategic plans and reviews; preparing and completing action plans; implementing production, productivity, quality, and customer -service standards; resolving problems; completing audits; identifying trends; determining system improvements; implementing change.
- 2) Meets marketing and sales financial objectives by forecasting requirements; preparing an annual budget; scheduling expenditures; analyzing variances; initiating corrective actions.

3) Determines annual and gross-profit plans by forecasting and developing annual sales quotas for regions; projecting expected sales volume and profit for existing and new products; analyzing trends and results; establishing pricing strategies; recommending selling prices; monitoring costs, competition, supply, and demand.

4) Accomplishes marketing and sales objectives by planning, developing, implementing, and evaluating advertising, merchandising, and trade promotion programs; developing field sales action plans.

5) Identifies marketing opportunities by identifying consumer requirements; defining market, competitor's share, and competitor's strengths and weaknesses; forecasting projected business; establishing targeted market share.

6) Improves product marketability and profitability by researching, identifying, and capitalizing on market opportunities; improving product packaging; coordinating new product development.

7) Sustains rapport with key accounts by filling the content of the Project's website about the games, interact with the games users by corresponding via the website with them.

8) Provides information by collecting, analyzing, and summarizing data and trends.

9) Protects organization's value by keeping information confidential.

10) Accomplishes marketing and organization mission by completing related results as needed.

Skills/Qualifications: Financial Planning and Strategy, Marketing Concepts, Positioning, People Management, Territory Management, Sales Planning, Competitive Analysis, Understanding the Customer, Product Development, Client Relationships, Creative Services

Technical Manager Job Purpose: Maintains information technology strategies by managing staff; researching and implementing technological strategic solutions.

Technical Manager Job Duties:

1) Accomplishes information technology staff results by communicating job expectations; planning, monitoring, and appraising job results; coaching, counseling, and disciplining employees; initiating, coordinating, and enforcing systems, policies, and procedures.

2) Maintains organization's effectiveness and efficiency by defining, delivering, and supporting strategic plans for implementing information technologies.

3) Directs technological research by studying organization goals, strategies, practices, and user projects.

4) Completes the Project by coordinating resources and timetables with user departments and data center.

5) Verifies the games development results by conducting system audits of technologies implemented.

6) Preserves the Project's website by implementing disaster recovery and back-up procedures and information security and control structures.

7) Recommends game development strategies, policies, and procedures by evaluating organization outcomes; identifying problems; evaluating trends; anticipating requirements.

8) Initiates corrective actions when the bugs and mistakes are found in the games after testing procedures.

9) Maintains quality service of the games by establishing and enforcing world standards.

10) Contributes to team effort by accomplishing related results as needed.

Skills/Qualifications: Technical Management, Technical Understanding, Analyzing Information, Informing Others, Staffing, Problem Solving, Data Center Management, Programming, Coordination, Strategic Planning, Quality Management

Financial plan of the Project:

1) The Project stages and costs:

1.1. Preparatory process:

To begin the game development process, the Project must be provided with the finances. Finances are needed to create the necessary conditions for the game development process and to cover the Project costs. \$

Table number 1.1: The preparatory period:

A month before the production phase	Start-up costs which are required for quality work		
First month	Type	Amount	Cost
	Establishing a german limited company and the lawyers cost		For establishing 25 000 \$ for lawyer 5 000 \$
	iOS Mac computers	8 pcs	2000 \$ x 8 = 16000 \$
	iPads for testing	4 pcs	500\$ x 4 = 2000\$
	Multimedia Center for scoring	1 pcs	5000\$
	Graphic device (tablet and a computer) to the artist	1+1 pcs	1000\$+1000\$ = 2000\$
	Server for the Technical Manager to work with the website	1 pcs	8000\$
	Widescreen high resolution screen for group working	1 pcs	3000\$
	Macbook which works on iOS for presentations	2 pcs	2000\$ x 2 = 4000\$
	Mini printing set for printing the game advertisement booklets and posters	1 pcs	10 000\$
	Music composing and voice recording devices	1 set	20 000 \$
	Car for promotion and presentation visits	1car	20 000 \$
	Office furniture (sofa, 8 desks, 10 chairs, 1 table, 1 refrigerator, 1 microvave)	2 sets	10 000\$
	Total		30 000\$ (for establishing the company) +100 000 \$ (for tehcnics) = 130 000\$

Branding	Trademark, logo, name	2 000\$
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After the needed conditions are created, the team of the Project are hired and the production process of the games begins.

1.2. Production process:

After all the members of the team are hired for the Project, the production process begins. Firstly, General Director will held a work meeting for all the team members and delegates every of them with their duties. As soon as duties was received the work begins. The script and deadlines from the General Director will be the main task map for the team.

Table number 1.2 : Production process:

Per month	Position Title	Number	The amount of wages
	Prosecutor Director	1 person	3000\$
	Managing Director	1 person	3000\$
	Accountant	1 person	2000\$
	Technical manager	1 person	2000\$
	Marketing Manager	1 person	2000\$
	Game designers	3 persons	2000 \$ x 3 = 6000 \$
	Artist	1 person	2000\$
	Sound composer	1 person	2000\$
	Programmers	2 persons	2000 \$ x 2 = 4000 \$
	Cook, Cleaning person	2 persons	2000\$ + 1000\$ = 3000 \$
	Total	12 months	29 000\$x 12 = 348 000 \$

The production process will last 1 year. In this period 4 games will be developed, tested and published at App store, the Projects website will be created, published.

Marketing works	Type of work	Cost
	Ad works, presentation and distribution of products	50 000 \$

	Promotion of every game and site at all media related (TV advertisements, App store, Android market, Google play, Facebook, Twitter and etc.)	320 000\$
Intellectual property	Certifying the intellectual property rights of the projects' images, music, scripts, books and apps	20 000 \$
VAT+ Insurance costs	Depends on which country the Project will be held	Approximately 80 000 \$ for one year

If we rent an office for our Project the annual cost of the rent will be approximately 50 000\$.

If we buy an office for our Project the cost of the office in will be approximately 350 000\$.

Total cost estimation will be consisted of two different types of charges : fixed charges and variable costs (VAT) and will be

All invest project cost for one year is

- 1) With renting the office for one year 50 000\$ + 130 000 \$ (Preparatory costs) + 348 000 \$ (for staff salary) + 2000 \$ (for trademark registration) + 470 000 \$ (marketing, advertisement promotional costs) +80 000 \$ (VAT and Insurance costs)= **1 000 000\$.**
- 2) With buying the office for 350 000\$ + 130 000 \$ (Preparatory costs) + 348 000 \$ (for staff salary) + 2000 \$ (for trademark registration) + 90 000 \$ (marketing, advertisement promotional costs) +80 000 \$ (VAT and Insurance costs)=**1 350 000 \$.**

During the production period - the Project, the games and the website will be promoted. And from the first month of the second year of the Project all the games will be monetized and will begin bringing profits.

2) The Projects Monetization process and the net profit;

The games will be published at App store for selling at a price of 2 \$ (the average selling price) for each download. To know about the full return rate of the Project there is a need for finding the breakeven point. The breakeven point will determine when the Project costs will be fully returned and will bring net profit. The breakeven point will be clarified from dividing the total cost to the price of sold games via App store.

$$\frac{1\,000\,000\ \$}{2\$} = 500\,000 \text{ downloads of our games}$$

This downloads amount of our games are easily reachable in the period of funding (5 years) the Project. Every year the net profit will be divided between the Investor and the Authors at 50/50 and as it was written before by the Investor's agent the full amount of investment will be taken from the Project by the Investor after three years from the beginning of the Project.

Confidentiality Agreement

The undersigned reader acknowledges that the information provided by Barsajdar Technologies LLC in this business plan is confidential; therefore, reader agrees not to disclose it without the express written permission of Mr. Alisher Eshonkulov and Mr Iskandar Nematjanov

It is acknowledged by reader that information to be furnished in this business plan is in all respects confidential in nature, other than information which is in the public domain through other means and that any disclosure or use of same by reader, may cause serious harm or damage to Barsajdar Technologies LLC.

Upon request, this document is to be immediately returned to Barsajdar Technologies LLC.

Signature

Name (typed or printed)

Date